Type MS · Why keep a full set of accounting records

Answer 1 of 2 · Question 2 part b · 4 marks

2024 JUN · Paper 02 · extract 1 of 2 · find part b in this mark scheme extract

Number		
2(a)(i)	**Award mark as indicated** $12 000 **(1)**	**(1)**

Question Number	Answer	Mark
2(a)(ii)	**Award marks as indicated.**	**(15)**

Thelma
Statement of Financial Position at 31 December 2023

	$	$
Assets		
Non-current assets		
Motor vehicles		17 600**(1)**
Current assets		
Inventory	14 568	
Trade receivables	2 167	
Other receivables	200**(1)**	
Cash in hand	890	
		17 825**(1)**
Total assets		35 425**(1of)**
Equity and liabilities		
Equity		
At 1 January 2023	12 000**(1of)**	
Additional capital	10 000 **(1)**	
Profit for the year	5 135 **(1)**	
Drawings	(4 800) **(1)**	
Total equity		22 335 **(1of)**
Non-current liabilities		
Bank loan (2028)		5 000**(1)**
Current liabilities		
Bank loan (2024)	3 000**(1)**	
Bank overdraft	2 198**(1)**	
Trade payables	2 325	
Other payables	567**(1)**	
		8 090**(1)**
Total liabilities		13 090
Total equity and liabilities		35 425**(1of)**

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2024 JUN · Paper 02 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award 1 mark for identification and 1 for development for each reason.** **Sample answer** A business should maintain full accounting records to prepare financial statements more frequently **(1)** as the information required will be readily available **(1)** It will help the business owners to improve their decision making **(1)** as the financial information will be more accurate and up to date **(1)** **Accept any other appropriate responses**	**(4)**

Question Number	Answer	Mark
2(c)	**Award up to 2 marks for a discussion on the meaning of each individual ratio.** **Up to 2 marks for the implication for their credit suppliers.** **Award 1 mark for a conclusion**. **Sample answer** The current ratio indicates that they are just able to cover their short-term debts **(1)** whereas their quick ratio indicates that they are below the ideal ratio of 1:1. **(1)** The implication of this for a credit supplier is that the business may experience some difficulty in meeting its short-term debts **(1).** This will have a negative effect on the supplier who may stop supplying goods to the supplier until debts are paid. **(1)** The liquidity of the business has worsened over the two years **(1)** which is evidenced by the reduction in both ratios. **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Why keep a full set of accounting records

Answer 2 of 2 · Question 18 part d · 5 marks

2023 JAN · Paper 01 · extract 1 of 2 · find part d in this mark scheme extract

18(a)	**Award marks for figures as indicated.** $2 494 **(3) W** **W** **$** | 2 640 | 36 **(1)** (182) **(1)** 2 494 **(1of)**	**(3)**

Question number	Answer	Mark
18(b)	**Award marks as indicated. 1 mark for all correct labels *.** **Sam** **Bank reconciliation statement at 30 September 2022** | | **$** | | Updated bank balance per cash book | 2 494 **(1of)** | | Unpresented cheques * | 1 845 **(1)** | | Outstanding lodgements * | (260) **(1)** | | Balance per bank statement * | 4 079 **(1)** |	**(5)**

Question number	Answer	Mark
18(c)	**Award marks as indicated** Used for recurring payments **(1)** Amount/dates can be variable **(1)** Made at the request of the payee **(1)**	**(2)**

Type MS · Why keep a full set of accounting records

Answer 2 of 2 · Question 18 part d · 5 marks

2023 JAN · Paper 01 · extract 2 of 2 · find part d in this mark scheme extract

Question number	Answer	Mark
18(d)	**Award up to 2 marks for each benefit and 1 mark for overall evaluation.** **Sample answer** Maintaining a full set of accounting records will enable Sam to monitor and control his trade receivables **(1)** which will reduce the possibility of irrecoverable debts **(1)** Maintaining a full set of accounting records will enable Sam to access up-to-date information **(1)** which will facilitate better control / better decision making in his business **(1).** Overall, this action will be of benefit to Sam's business **(1).** **Accept any other appropriate responses.**	**(5)**

Total for Question 18 = 15 marks